

Forward Guidance Roundup: Oil Shock at the Recession Precipice

Extracted from: Forward Guidance

Source: [Forward Guidance \(YouTube\)](#)

Published: 13-03-2026

 **5-Minute Version:** [Watch Key Excerpts](#)

Speaker Bios

Felix is a macro trader and Substack analyst focused on cross-asset flows, FX, and commodities. Known for early positioning in energy and agricultural commodities ahead of geopolitical supply shocks.

Clint is a macro/options trader with a focus on volatility structure, positioning, and equity market microstructure. Active on social media tracking options skew, dealer gamma, and regime shifts.

Executive Summary

The Strait of Hormuz closure is not a standard geopolitical risk event—it is a **supply shock with no unilateral unwind**. Unlike tariffs, which Trump can reverse by tweet, a physical commodity disruption involving 90 million Iranians with asymmetric will-to-fight cannot be tacos'd away. Brent crude closed above \$100 on the day of recording. Every tool in the administration's toolkit has been deployed: SPR drawdown (-172M barrels, near floor), front-month futures suppression, Jones Act exemptions—and oil is still above \$100. The window before demand destruction becomes structural is closing fast; another 10 days of the straight closed "puts us in a really really bad spot."

The cross-asset map is asymmetric. **Europe and Asia are acutely exposed**; the US is relatively insulated as the world's largest oil and gas producer with export ban optionality. Japan, South Korea, and Europe entered this crisis with natural gas inventories at their lowest since Russia invaded Ukraine in early 2022. The euro is currently pricing in a rate hike—hosts call this "the most absurd thing ever"—and the re-pricing of EUR to cuts will be violent. **Dollar long is the cleanest tactical trade**: crowded short positioning + flight-to-safety demand for USD + energy independence hedge all converge. Gold faces a near-term headwind from a violent dollar rally despite being the medium-term winner (Fed QE at \$500B/year of reserve management purchases, no one wants duration in a crisis).

Critically, **2026 is structurally inverted from 2022**. In 2022 you had: JOLTS at all-time highs, \$2T in RRP liquidity buffer, COVID-era savings, mass immigration. Today: Goldman's underlying job growth trend is rolling over, savings depleted, zero liquidity facilities, farm bankruptcies +40% YoY, and sovereign wealth fund capex (Hormuz is the world's largest helium distributor—now offline) drying up. Every major oil supply shock in 40 years except 2022 produced a recession, and 2022 only survived because of buffers that no longer exist.

The **sleeper trade** is agricultural commodities (wheat, corn, soybeans, sugar). Farm bankruptcies at record highs have compressed supply; a spring planting season disruption due to fertilizer shortages (shipped via Hormuz) cannot be remedied mid-year—if unresolved by July/August, crop shortfalls extend 12 months. Futures positioning is still net short these assets. Historical analogues (Russia-Ukraine) show 50-300% price increases in months. No one is talking about it; everyone is chasing oil vol.

PM implication: Long USD via DXY or EUR/USD short (crowded positioning + asymmetric energy exposure). Long agri commodities (wheat, corn, soybeans) spot or front-month futures—spring planting risk is the key catalyst. Fade gold near-term on violent dollar rally; reload medium-term as QE and no-duration-buyer thesis plays out. Curve steepeners (long front-end, short long-end) preferred over outright bond longs—fiscal/monetary gridlock makes long bonds "dead money." Avoid equities broadly; staircase walkdown continues as put hedges decay without monetizing and leveraged longs are slow to degross.

Listen or Skip?

Verdict: Must-listen — most comprehensive cross-asset framework for the Hormuz shock, with specific trades and regime inversion analysis

Aspect	Rating
Signal density	★★★★★
Actionability	★★★★☆
Novel insights	★★★★☆
Production quality	★★★☆☆

Best for: Macro PMs, rates/FX traders, commodity desks, anyone navigating the oil shock **Skip if:** Looking for equity stock picks or crypto-specific content

Key Quotes

1. *"This is the most obvious staircase walk-down market right now like you could possibly see."*
2. *"When it's a unilateral decision like tariffs, you can reverse it and taco and things work out. But when you introduce assets that are physical, it's no longer a unilateral decision. Tacos don't work so well."*
3. *"Brent oil just closed above 100 bucks today. We are right on the precipice of that turning into demand destruction."*
4. *"Europe and Japan were carrying the lowest natural gas inventory since the start of 2022 when Russia invaded Ukraine. You can't even make these things up."*
5. *"Farm bankruptcies across the US are up over 40% year-over-year. The cure for low prices is low prices—everybody goes out of business, there's no supply, then there's a shortage and supply moons."*
6. *"Every private credit fund gated. You sprinkle in the tinder of private credit ready to just light a match under."*
7. *"Iran proclaimed they're going to get oil to \$200 because they know that's Trump's stop loss and his liquidation level. They're going to press it."*
8. *"Nobody's making money on their puts. Nobody's actually degressed. So they're still massively long and eventually people get the hint."*

1) Executive Dashboard (PM Read)

Metric	Assessment
Net Signal	Risk-Off
Conviction	High
Time Horizon	Tactical (0-1m) + Cyclical (1-6m)
Primary Domain(s)	Macro Commodities FX Rates Equities
Why Now?	Brent >\$100, SPR near floor, every tool deployed— 10-day window before structural demand destruction

Top 3 Investable Ideas:

1. **Long USD / Short EUR** — DXY or EUR/USD short; euro pricing in hike while facing imminent recession; crowded short USD positioning unwinds
2. **Long Agricultural Commodities** — wheat, corn, soybeans, sugar spot/front-month; spring planting season disruption irreversible post-July; futures still net short

3. **Curve Steepener** — long front-end (rates floor from fiscal deficit buffer), short long-end (fiscal + monetary gridlock = no duration bid); avoid outright bond longs

2) Key Investable Insights

Insight 1: Dollar rally is imminent and violent - Claim: EUR/USD short is the clearest risk-adjusted trade right now as European energy exposure reprices. - **Asset Class:** FX — EUR/USD, DXY - **Mechanism:** Europe/Asia are net short energy into a Hormuz closure with record-low gas inventories → recession → central bank cuts → currency devaluation vs USD. US has energy independence + export ban optionality. Crowded short USD positioning reverses. - **Expression:** Short EUR/USD or Long DXY ; tactical 1-3 month horizon - **Trigger to Exit/Flip:** Hormuz reopens + oil drops back below \$80; ECB cuts priced aggressively before EUR moves - **Confidence:** High

Insight 2: Agricultural commodities — the sleeper supply shock - Claim: Wheat, corn, soybeans, sugar face a 2nd-order supply shock from fertilizer disruption and US farm bankruptcy cycle that is unrelated to oil headlines but driven by same supply chain. - **Asset Class:** Commodities — CBOT wheat, corn, soybeans; sugar - **Mechanism:** Farm bankruptcies +40% YoY compress supply → spring planting season requires fertilizer shipped via Hormuz → if unresolved by July, full crop-year shortfall → 50-300% price moves per Russia-Ukraine analogue. Futures positioning still net short = maximum pain on squeeze. - **Expression:** Long CBOT wheat (ZW) , Long CBOT corn (ZC) , Long CBOT soybeans (ZS) — spot or front-month roll - **Trigger to Exit/Flip:** Hormuz reopens before May; fertilizer supply chains normalize; spring planting data shows no disruption - **Confidence:** High

Insight 3: Equities — stairstep walkdown continues, hedges failing - Claim: The options/volatility structure makes this a lose-lose for most participants: puts don't pay (bought at elevated vol, theta burning), longs bleed daily, and leveraged positions haven't degrossed. - **Asset Class:** Equities — S&P 500, Nasdaq, Russell 2000 - **Mechanism:** Massive put open interest at elevated implied vol → dealers not forced to sell (gamma structure ambiguous) → market bleeds ~1.5%/day on indices. When March OPEX rolls, put protection expires without monetizing → forced degrossing accelerates. Taiwan/Korea margin debt still near record highs — unwind not started. - **Expression:** Short ES futures or Short QQQ spot (avoid puts given vol levels); Rotate to defensive shorts (software, consumer discretionary) vs Long Walmart/Costco - **Trigger to Exit/Flip:** Hormuz resolution + oil drops below \$85; Fed emergency cut announcement; March OPEX clears and vol collapses - **Confidence:** Medium-High

3) Transmission & Cross-Asset Map

Primary Driver	Direct Impact (1st Order)	Spillover (2nd Order)	Correlation Risk	Funding/Carry Impact	Positioning/ Flows
Hormuz closure / Brent >\$100	EU/Asia energy shortage → recession	EUR/JPY/KRW devaluation vs USD	Gold sells off on dollar rally (short-term)	Long bonds sell off (fiscal + basis trade unwind)	Crowded short USD reverses; gold longs forced to sell to cover energy needs
SPR near floor	No further supply suppression tools	Oil structural floor above \$85-90	Commodity complex re-rates	Credit spreads widen; private credit gating	Sovereign wealth funds (Gulf) pulled from AI capex
US farm bankruptcies +40% YoY	Ag commodity supply compression	Spring planting disruption → 12-month shortfall	Soft commodities decorrelated from oil vol	Fertilizer import disruption (Hormuz)	Futures net short agri = max pain on squeeze
Options/vol structure (put-heavy)	Equity bleed 1.5%/day; puts not monetizing	Leveraged degrossing when hedges expire at OPEX	Implied vol stays elevated → options expensive	Basis trade HF degrossing → Treasury sell-off	Taiwan/Korea margin debt near record; not degrossed
Private credit gating	Capital locked; no redemptions	Credit contraction across mid-market	Spread of distress to public credit	Reduced buyback/dividend firepower	Every major PCF reportedly gated

4) Regime & Scenario Analysis

- **Current Regime Fit:** Stagflation transitioning to Demand Destruction. Supply shock inflationary initially (hawkish central bank paralysis), but >\$100 oil historically tips to recession; 2026 consumer/labor buffers far weaker than 2022.

- **Base Case (55%):** Hormuz partially disrupted for 2-6 more weeks → Brent \$100-130 → EU/Asia slip into recession Q2-Q3 2026 → EUR reprices 3-5 cuts → dollar rallies 5-8% → Fed holds then cuts H2 2026 on global demand destruction → US recession probability rises to 50%+. Ag commodities +30-80% by summer.
- **Alt Case — Resolution (30%):** Back-channel talks succeed; Hormuz reopens within 2 weeks → oil drops to \$75-80 → dollar rally fades → relief rally in equities (but structural damage to labor/consumer already done). Ag commodities rally moderates.
- **Tail Risk — Escalation (15%):** Oil hits \$150-200 (Iran's stated "stop loss" level for Trump) → emergency Fed cut → dollar paradox (cut vs. flight to safety) → global recession confirmed → equities -30-40% from peak. Private credit cascade; Treasury basis trade unwind redux.
- **Anti-Thesis Trigger:** Brent sustainably back below \$85 within 2 weeks; ECB delivers emergency cut before data; US fiscal stimulus (energy relief checks) announced → re-inflation without demand destruction.
- **Key timing check:** Spring planting season (April-May) is the irreversible agricultural trigger. If Hormuz not resolved by then, crop shortfall is 12-month structural, not tactical.

5) Hard Data & Verifiable Claims

- **Data:** Brent crude closed above \$100 on 2026-03-13
- **Data:** SPR drawdown of ~172 million barrels — described as "near floor" (functionally can't go to zero)
- **Data:** Japan, South Korea, and Europe natural gas inventory at lowest since early 2022 (Russia-Ukraine invasion)
- **Data:** US farm bankruptcies up >40% year-over-year (recent)
- **Data:** Goldman's underlying job growth estimate turned negative/near-zero (slide referenced)
- **Data:** Fed QE at approximately \$500B/year in reserve management purchases
- **Data:** US running 5-5.5% deficit to GDP pre-crisis
- **Data:** Taiwan outstanding margin debt at record levels (slide referenced)
- **Data:** Korean leveraged stock loans (margin) at record highs (slide referenced)
- **Data:** IEA: global SPR releases provide ~20 days of coverage assuming ~20M barrels/day missing from Hormuz disruption
- **Claim:** "Every major energy oil shock in the past 40 years except 2022 produced a recession" — consistent with historical record but not sourced with specific citation
- **Claim:** Hormuz handles a large share of global helium distribution — cited as disrupting AI data center buildout
- **Claim:** Every major private credit fund has gated — unverified, presented as market observation
- **Claim:** Agricultural commodity prices can rise 50-300% in months during geopolitical supply disruptions (Russia-Ukraine analogue cited)

6) BS & Bias Filter

- **Incentives:** Both hosts are active traders with disclosed long positions in energy/ag commodities, defensive equity shorts (software, consumer). Views align with their book — bear this in mind.
- **Blind Spots:** No discussion of OPEC+ response capacity or Saudi/UAE willingness to flood market; no analysis of Iranian negotiating incentives or ceasefire probability; muted attention to US domestic demand resilience (consumer credit still functioning). Also: zero crypto signal despite Blockworks platform.
- **Consensus Check:** Dollar long and agri commodities are contrarian (consensus was short dollar, few talking agri). Equity bearishness is more consensus now. Oil bearishness after \$100 is also now consensus — the outlier call is the tail scenario (\$150-200).
- **Track Record:** Felix self-describes as "early and often wrong, then right months later" — take timing calls with appropriate skepticism. Positioned in agri commodities for 2+ months prior to Hormuz shock; thesis now playing out.
- **Sample Bias:** Analysis is heavily US and European-centric; limited treatment of China's role (China is the largest buyer of Iranian oil regardless of sanctions — this is a material omission).

7) PM Bottom Line

Action → Trade

The Hormuz supply shock is not a "fog of war" binary — it is a structural macro regime shift with clear cross-asset implications regardless of resolution timing. The dollar long / EUR short is the highest-conviction tactical trade given crowded positioning, energy asymmetry, and ECB re-pricing. Agricultural commodities (wheat, corn, soybeans) are

the highest-upside sleeper with an irreversible spring planting catalyst. Avoid long bonds outright; prefer curve steepeners. Reduce equity exposure via spot shorts (not puts) in software and consumer discretionary; add defensive longs (Walmart, Costco).

Key watches: Brent crude daily close relative to \$100 (demand destruction threshold); spring planting season news flow (April–May); ECB forward guidance re-pricing; March OPEX (2026-03-21) as potential vol/degrossing inflection; any back-channel ceasefire signals from Iran or US.